NOMURA

Global Markets Research
26 July 2026

Contemporary Amperex Technology 300750.SZ 300750 CH

EQUITY: TECHNOLOGY

2Q26 in line, positive on share buyback

Reiterate Buy with a revised TP of CNY632

Rating Remains	**Buy**
Target price Increased from CNY 612.00	**CNY 632.00**
Closing price 24 July 2026	**CNY 383.01**
Implied upside	**+65.0%**
Market Cap (USD mn)	249,212.9
ADT (USD mn)	2,125.6

2Q26 net profit +36% y-y to CNY22.5bn, in line with our expectation

CATL reported 1H26/2Q26 results after market close on 24 July. The company reported 42% y-y earnings growth to CNY43.3bn in 1H26, translating into 36% y-y and 9% q-q earnings growth to CNY22.5bn for 2Q26, which is in line with market expectation of CNY22-23bn, in our view. The company recorded 55% y-y revenue growth to CNY277bn in 1H25 (2Q26: +57% y-y or +14% q-q to CNY148bn), with GPM contracting 1.1pp y-y to 23.9% (2Q26: down 2.4pp y-y or 1.7pp q-q to 23.2%), which we attribute to material cost inflation and change in revenue mix.

Resilient demand outlook for FY27-28F with impact of cost inflation under control

For 1H26, the company recorded revenue growth of 46%/88% y-y for the EV/ESS battery segments to CNY192/53bn. We estimate ~60% y-y growth in total battery shipments to 430-440GWh for 1H26 (2Q26: +10-15% q-q to ~230GWh), implying an ex.VAT battery ASP of approximately CNY0.57/Wh, which is largely flat h-h. We expect the company to record 51% y-y growth in battery shipments to ~1TWh in FY26F, followed by 19-22% growth over FY27-28F, supported by resilient demand growth from global EV penetration and growing ESS installation in both domestic and overseas markets.

A-share buyback of CNY20-40bn likely positive on market sentiment

CATL also announced to buy back A-shares worth CNY20-40bn within 12 months after shareholders' meeting approval, accounting for approximately 1.1-2.3% of its latest A-share market cap (or 0.8-1.5% if it buys back at a price cap of CNY573 per share). We view the share buyback plan positive on market sentiment with improved shareholders' return for the company.

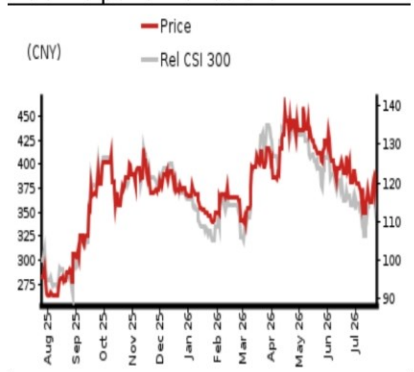
Reiterate Buy with TP lifted to CNY632

We raise FY26-28F revenue forecasts by 5.7-8.6% to reflect stronger-than-expected battery shipments and non-battery revenue growth, but we cut GPM forecasts by 0.6-1.4pp considering changes in revenue mix. Our FY26-28F earnings forecast are 3.3-5.3% higher than our previous estimates. We reiterate our Buy rating and lift TP to CNY632, based on unchanged 25x FY27F EPS of CNY25.26, which implies 1.25x FY27F PEG based on FY26-28F earnings CAGR of 20%. The stock is trading at 18/15x FY26/27F P/E, which is undemanding in our view.

Year-end 31 Dec	FY25	FY26F		FY27F		FY28F	
Currency (CNY)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	423,702	604,964	639,448	712,550	765,031	813,124	882,936
Reported net profit (mn)	72,201	91,472	96,345	111,655	115,302	132,177	136,785
Normalised net profit (mn)	72,201	91,472	96,345	111,655	115,302	132,177	136,785
FD normalised EPS	15.82	20.04	21.11	24.47	25.26	28.96	29.97
FD norm. EPS growth (%)	42.3	26.7	33.4	22.1	19.7	18.4	18.6
FD normalised P/E (x)	24.2	–	18.1	–	15.2	–	12.8
EV/EBITDA (x)	16.1	–	10.6	–	8.7	–	7.0
Price/book (x)	5.2	–	4.4	–	3.8	–	1.5
Dividend yield (%)	2.1	–	2.8	–	2.0	–	4.9
ROE (%)	24.7	25.1	26.2	26.2	26.8	26.0	26.5
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash	net cash	net cash

Source: Company data, Nomura estimates

Relative performance chart



Source: LSEG, Nomura

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See Appendix A-1 for analyst certification, important disclosures and the status of non-US analysts.

Key data on Contemporary Amperex Technology

Performance

(%)	1M	3M	12M		
Absolute (CNY)	-3.1	-13.9	34.3	M cap (USDmn)	249,212.9
Absolute (USD)	-2.7	-13.1	41.8	Free float (%)	54.4
Rel to CSI 300	2.8	-11.4	22.2	3-mth ADT (USDmn)	2,125.6

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	362,013	423,702	639,448	765,031	882,936
Cost of goods sold	-273,519	-312,383	-488,315	-584,296	-669,703
Gross profit	88,494	111,319	151,133	180,735	213,233
SG&A	-33,917	-40,381	-49,752	-58,758	-68,697
Employee share expense					
Operating profit	54,577	70,938	101,381	121,977	144,537
EBITDA	77,015	95,261	137,331	157,155	177,186
Depreciation	-22,438	-24,323	-35,950	-35,178	-32,650
Amortisation					
EBIT	54,577	70,938	101,381	121,977	144,537
Net interest expense	4,132	7,940	4,665	7,234	11,668
Associates & JCEs					
Other income	4,473	10,649	17,990	19,228	19,542
Earnings before tax	63,182	89,527	124,036	148,438	175,747
Income tax	-9,175	-12,740	-20,132	-24,093	-28,525
Net profit after tax	54,007	76,786	103,904	124,346	147,222
Minority interests	-3,262	-4,585	-7,559	-9,044	-10,438
Other items					
Preferred dividends					
Normalised NPAT	50,745	72,201	96,345	115,302	136,785
Extraordinary items					
Reported NPAT	50,745	72,201	96,345	115,302	136,785
Dividends	-25,372	-36,101	-48,172	-34,591	-41,035
Transfer to reserves	25,372	36,101	48,172	80,711	95,749
Valuations and ratios					
Reported P/E (x)	34.4	24.2	18.1	15.2	12.8
Normalised P/E (x)	34.4	24.2	18.1	15.2	12.8
FD normalised P/E (x)	34.4	24.2	18.1	15.2	12.8
Dividend yield (%)	1.5	2.1	2.8	2.0	4.9
Price/cashflow (x)	18.0	13.1	10.6	9.9	9.4
Price/book (x)	7.1	5.2	4.4	3.8	1.5
EV/EBITDA (x)	20.4	16.1	10.6	8.7	7.0
EV/EBIT (x)	28.7	21.7	14.3	11.2	8.6
Gross margin (%)	24.4	26.3	23.6	23.6	24.2
EBITDA margin (%)	21.3	22.5	21.5	20.5	20.1
EBIT margin (%)	15.1	16.7	15.9	15.9	16.4
Net margin (%)	14.0	17.0	15.1	15.1	15.5
Effective tax rate (%)	14.5	14.2	16.2	16.2	16.2
Dividend payout (%)	50.0	50.0	50.0	30.0	30.0
ROE (%)	22.8	24.7	26.2	26.8	26.5
ROA (pretax %)	11.0	11.9	14.7	17.0	19.9
Growth (%)					
Revenue	-9.7	17.0	50.9	19.6	15.4
EBITDA	15.9	23.7	44.2	14.4	12.7
Normalised EPS	11.0	42.3	33.4	19.7	18.6
Normalised FDEPS	11.0	42.3	33.4	19.7	18.6

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	77,015	95,261	137,331	157,155	177,186
Change in working capital	-11,366	-8,479	21,790	14,426	6,515
Other operating cashflow	31,342	46,439	5,900	4,262	3,184
Cashflow from operations	96,990	133,220	165,022	175,843	186,886
Capital expenditure	-31,180	-42,345	-45,000	-40,500	-30,375
Free cashflow	65,810	90,875	120,022	135,343	156,511
Reduction in investments					
Net acquisitions					
Dec in other LT assets					
Inc in other LT liabilities					
Adjustments	-17,695	-52,131	0	0	0
CF after investing acts	48,115	38,744	120,022	135,343	156,511
Cash dividends	-25,807	-34,923	-36,101	-48,172	-34,591
Equity issue	2,560	44,814	0	0	0
Debt issue	10,568	-11,912	-5,000	-5,000	-5,000
Convertible debt issue					
Others	-3,442	-6,953	0	0	0
CF from financial acts	-16,121	-8,974	-41,101	-53,172	-39,591
Net cashflow	31,994	29,770	78,921	82,171	116,920
Beginning cash	238,165	270,160	299,930	378,851	461,022
Ending cash	270,160	299,930	378,851	461,022	577,942
Ending net debt	-146,344	-186,522	-270,443	-357,614	-479,534

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	270,160	299,930	378,851	461,022	577,942
Marketable securities	33,352	33,583	33,583	33,583	33,583
Accounts receivable	72,377	94,108	108,110	118,862	125,086
Inventories	59,836	94,526	113,959	128,355	137,942
Other current assets	74,417	116,334	116,334	116,334	116,334
Total current assets	510,142	638,482	750,838	858,156	990,888
LT investments					
Fixed assets	142,344	176,134	176,523	173,185	162,250
Goodwill	14,420	15,264	14,752	14,240	13,728
Other intangible assets	119,752	144,948	143,184	141,419	139,655
Other LT assets					
Total assets	786,658	974,828	1,085,297	1,187,000	1,306,521
Short-term debt	42,578	35,173	35,173	35,173	35,173
Accounts payable	242,585	308,996	364,221	403,795	426,121
Other current liabilities	32,009	55,457	55,457	55,457	55,457
Total current liabilities	317,172	399,626	454,851	494,425	516,751
Long-term debt	81,238	78,235	73,235	68,235	63,235
Convertible debt					
Other LT liabilities	114,792	125,940	125,940	125,940	125,940
Total liabilities	513,202	603,801	654,026	688,600	705,927
Minority interest	26,526	33,919	33,919	33,919	33,919
Preferred stock					
Common stock	4,403	4,564	4,564	4,564	4,564
Retained earnings	242,527	332,544	392,788	459,918	562,112
Proposed dividends					
Other equity and reserves					
Total shareholders' equity	246,930	337,108	397,352	464,481	566,675
Total equity & liabilities	786,658	974,828	1,085,297	1,187,000	1,306,521
Liquidity (x)					
Current ratio	1.61	1.60	1.65	1.74	1.92
Interest cover	–	–	–	–	–
Leverage					
Net debt/EBITDA (x)	net cash	net cash	net cash	net cash	net cash
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash
Per share					
Reported EPS (CNY)	11.12	15.82	21.11	25.26	29.97
Norm EPS (CNY)	11.12	15.82	21.11	25.26	29.97
FD norm EPS (CNY)	11.12	15.82	21.11	25.26	29.97
BVPS (CNY)	54.11	73.87	87.07	101.78	257.38
DPS (CNY)	5.56	7.91	10.56	7.58	18.64
Activity (days)					
Days receivable	74.7	71.7	57.7	54.1	50.6
Days inventory	70.2	90.2	77.9	75.7	72.8
Days payable	318.5	322.2	251.6	239.9	226.8
Cash cycle	-173.6	-160.4	-116.0	-110.1	-103.5

Source: Company data, Nomura estimates

Company profile

Contemporary Amperex Technology Co Ltd (CATL) is a China-based battery manufacturer founded in 2011. The company specializes in the manufacturing of lithium-ion batteries for electric vehicles and energy storage systems, as well as battery management systems.

Valuation Methodology

Our TP of CNY632.00 is based on 25x of 2027F EPS of CNY25.26, which implies 1.25x FY27F PEG based on FY26-28F earnings CAGR of 20%. The benchmark index is CSI300.

Risks that may impede the achievement of the target price

Downside risks: 1) stronger-than-expected raw material price hike; 2) slower-than-expected shipments to global OEMs; and 3) intensified competition in both China and overseas markets.

ESG

As the leading lithium-ion battery manufacturer globally, CATL supplies batteries to both electric vehicle (EV) and energy storage application (ESS) sectors. Battery is the key component to promote the electrification trend of the global auto industry to replace traditional internal combustion engine (ICE) vehicles with reduced carbon dioxide emission. ESS battery helps to improve the utilization of electricity generated by renewable energies such as wind and solar power, which is environmentally friendly. We believe CATL is one of the key enablers for China to achieve its carbon neutrality target.

Fig. 1: CATL - 2Q26 results review

(CNY mn)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	y-y	q-q
	A	A	A	A	A	A		
Revenue	84,705	94,182	104,186	140,630	129,131	147,786	57%	14%
% chg yoy	6%	8%	13%	37%	52%	57%		
COGS	(64,030)	(70,093)	(77,304)	(100,956)	(97,086)	(113,569)	62%	17%
Gross Profit	20,674	24,088	26,882	39,674	32,045	34,217	42%	7%
OPEX	(8,849)	(9,240)	(9,462)	(12,830)	(9,956)	(10,929)		
Operating Income (adjusted)	11,825	14,848	17,420	26,844	22,089	23,288	57%	5%
% chg yoy	13%	16%	0%	93%	87%	57%		
Finance expense	2,288	3,534	1,194	924	(62)	693		
Other gains/expense	3,262	3,055	3,285	1,046	4,655	5,104		
Pretax income	17,375	21,437	21,900	28,814	26,682	29,085	36%	9%
% chg yoy	32%	32%	35%	65%	54%	36%		
Tax	(2,513)	(3,934)	(1,968)	(4,325)	(3,944)	(4,792)		
Profit to shareholders	13,963	16,523	18,549	23,167	20,738	22,546	36%	9%
% chg yoy	33%	34%	41%	57%	49%	36%		
Ratio Analysis								
GPM	24.4%	25.6%	25.8%	28.2%	24.8%	23.2%	-2.4pp	-1.7pp
OPEX	10.4%	9.8%	9.1%	9.1%	7.7%	7.4%	-2.4pp	-0.3pp
OPM	14.0%	15.8%	16.7%	19.1%	17.1%	15.8%	0.0pp	-1.3pp
NPM	16.5%	17.5%	17.8%	16.5%	16.1%	15.3%	-2.3pp	-0.8pp

Source: Company data, Nomura research

Fig. 2: CATL - earnings forecast revisions

(CNY mn)	2024	2025	2026F	2027F	2028F	2026F	2027F	2028F	2026F	2027F	2028F
	ACT	ACT	(NOM)	(NOM)	(NOM)	(OLD)	(OLD)	(OLD)	% diff	% diff	% diff
Revenue	362,013	423,702	639,448	765,031	882,936	604,964	712,550	813,124	5.7%	7.4%	8.6%
% chg yoy	-10%	17%	51%	20%	15%	43%	18%	14%			
COGS	(273,519)	(312,383)	(488,315)	(584,296)	(669,703)	(458,621)	(535,504)	(605,621)	6.5%	9.1%	10.6%
Gross Profit	88,494	111,319	151,133	180,735	213,233	146,343	177,046	207,503	3.3%	2.1%	2.8%
OPEX	(33,917)	(40,381)	(49,752)	(58,758)	(68,697)	(55,236)	(64,347)	(74,242)	-9.9%	-8.7%	-7.5%
Operating Income (adjusted)	54,577	70,938	101,381	121,977	144,537	91,107	112,699	133,261	11.3%	8.2%	8.5%
% chg yoy	20%	30%	43%	20%	18%	28%	24%	18%			
Finance expense	4,132	7,940	4,665	7,234	11,668	6,559	9,039	13,652			
Other gains/expense	4,473	10,649	17,990	19,228	19,542	15,205	15,771	15,558			
Pretax income	63,182	89,527	124,036	148,438	175,747	112,871	137,509	162,470	9.9%	7.9%	8.2%
% chg yoy	17%	42%	39%	20%	18%	26%	22%	18%			
Tax	(9,175)	(12,740)	(20,132)	(24,093)	(28,525)	(16,062)	(19,568)	(23,121)			
Profit to shareholders	50,745	72,201	96,345	115,302	136,785	91,472	111,655	132,177	5.3%	3.3%	3.5%
% chg yoy	15%	42%	33%	20%	19%	27%	22%	18%			
Ratio Analysis											
GPM	24.4%	26.3%	23.6%	23.6%	24.2%	24.2%	24.8%	25.5%	-0.6pp	-1.2pp	-1.4pp
OPEX	9.4%	9.5%	7.8%	7.7%	7.8%	9.1%	9.0%	9.1%	-1.4pp	-1.4pp	-1.4pp
OPM	15.1%	16.7%	15.9%	15.9%	16.4%	15.1%	15.8%	16.4%	0.8pp	0.1pp	0.0pp
NPM	14.0%	17.0%	15.1%	15.1%	15.5%	15.1%	15.7%	16.3%	-0.1pp	-0.6pp	-0.8pp

(CNY mn)	2024	2025	2026F	2027F	2028F	2026F	2027F	2028F	2026F	2027F	2028F
	ACT	ACT	(NOM)	(NOM)	(NOM)	(OLD)	(OLD)	(OLD)	% diff	% diff	% diff
Revenue by segment											
EV battery	253,041	316,506	456,402	524,863	581,233	432,031	483,875	531,101	6%	8%	9%
ESS battery	57,290	62,440	124,880	177,454	234,772	131,124	183,573	233,872	-5%	-3%	0%
Materials and mining	34,193	27,839	40,563	44,619	47,932	30,623	33,685	36,163	32%	32%	33%
Battery shipment (GWh)	**474**	**661**	**997**	**1,219**	**1,454**	**943**	**1,124**	**1,319**	**6%**	**8%**	**10%**
EV	381	541	757	871	984	703	788	882	8%	11%	12%
ESS	93	120	240	348	470	240	336	437	0%	4%	8%
Battery ASP (CNY/Wh)	**0.65**	**0.57**	**0.58**	**0.58**	**0.56**	**0.60**	**0.59**	**0.58**	**-2%**	**-3%**	**-3%**
EV	0.66	0.59	0.60	0.60	0.59	0.61	0.61	0.60	-2%	-2%	-2%
ESS	0.62	0.52	0.52	0.51	0.50	0.55	0.55	0.54	-5%	-7%	-7%
Unit Net Profit (CNY/Wh)	**0.10**	**0.09**	**0.08**	**0.09**	**0.09**	0.08	0.09	0.09	**-1%**	**-1%**	**-1%**
GPM											
EV battery	*23.9%*	*23.8%*	*20.9%*	*21.7%*	*22.5%*	*21.7%*	*22.4%*	*23.2%*	-0.8pp	-0.8pp	-0.8pp
ESS battery	*26.8%*	*26.7%*	*23.0%*	*21.5%*	*22.3%*	*24.6%*	*25.4%*	*26.1%*	-1.6pp	-3.9pp	-3.9pp
Materials and mining	*10.2%*	*23.8%*	*23.4%*	*23.4%*	*23.5%*	*23.8%*	*23.8%*	*23.9%*	-0.4pp	-0.4pp	-0.4pp

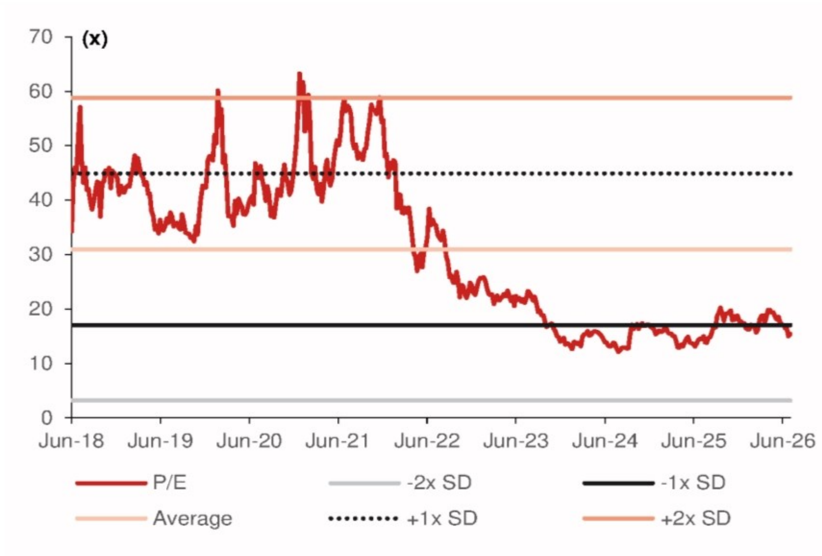
Source: Company data, Nomura estimates

Valuation methodology and risks

Our TP of CNY632.00 is based on 25x of 2027F EPS of CNY25.26, which implies 1.25x FY27F PEG based on FY26-28F earnings CAGR of 20%.

Downside risks: 1) stronger-than-expected raw material price hike; 2) slower-than-expected shipments to global OEMs; and 3) intensified competition in both China and overseas markets.

Fig. 3: CATL - 12-month forward P/E bands



Source: Company data, Nomura estimates

Appendix A-1

This report has been produced by Nomura International (Hong Kong) Ltd. (NIHK), Hong Kong.
See Disclaimers for Nomura Group entity details.

Analyst Certification

We, Ethan Zhang, Joel Ying and Manabu Akizuki, hereby certify (1) that the views expressed in this Research report accurately reflect our personal views about any or all of the subject securities or issuers referred to in this Research report, (2) no part of our compensation was, is or will be directly or indirectly related to the specific recommendations or views expressed in this Research report and (3) no part of our compensation is tied to any specific investment banking transactions performed by Nomura Securities International, Inc., Nomura International plc or any other Nomura Group company.

Issuer Specific Regulatory Disclosures

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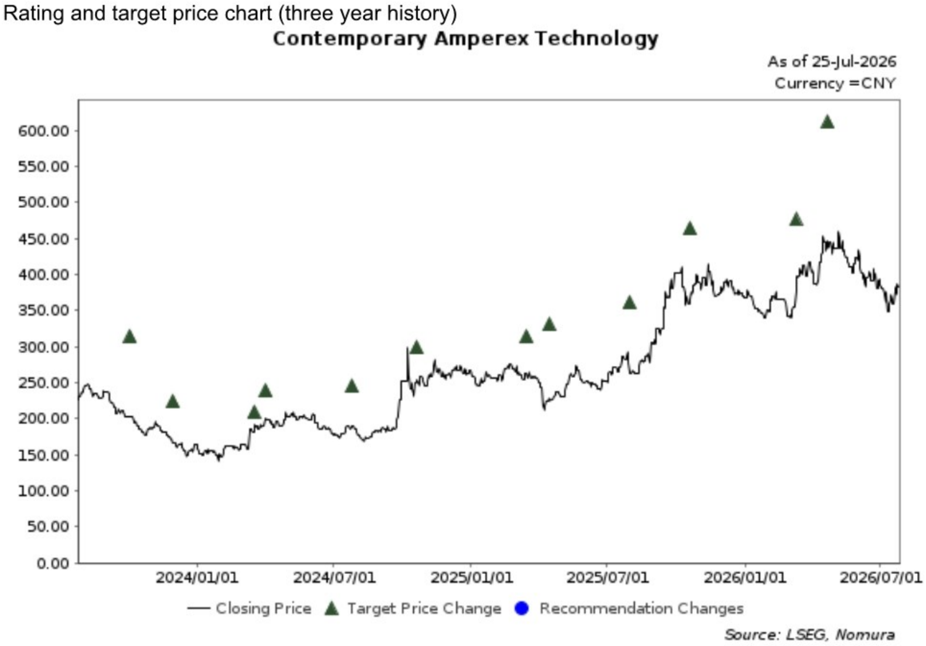
Materially mentioned issuers

Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Contemporary Amperex Technology	300750 CH	CNY 383.01	24-Jul-2026	Buy	N/A	A10

A10 The Nomura Group is a registered market maker in the securities / related derivatives of the issuer.

Contemporary Amperex Technology (300750 CH) **CNY 383.01 (24-Jul-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
22-Apr-26		612.00	436.35
10-Mar-26		476.00	376.30
20-Oct-25		465.00	366.50
31-Jul-25		362.00	264.62
15-Apr-25		331.00	228.15
16-Mar-25		315.00	262.00
20-Oct-24		300.00	249.89
26-Jul-24		246.00	189.35
02-Apr-24		240.00	199.70
17-Mar-24		210.00	181.00
30-Nov-23		225.00	167.00
04-Oct-23		315.00	203.03

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of CNY632.00 is based on 25x of 2027F EPS of CNY25.26, which implies 1.25x FY27F PEG based on FY26-28F earnings CAGR of 20%. The benchmark index is CSI300.
Risks that may impede the achievement of the target price Downside risks: 1) stronger-than-expected raw material price hike; 2) slower-than-expected shipments to global OEMs; and 3) intensified competition in both China and overseas markets.

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